

SOUTH KOREA'S HOUSING MARKET



A RAPID TURN

- In 2022, the housing market in South Korea took “*a rapid turn for the worse*”
- Affected by the aggressive rate hikes of the U.S. fed
- **Household interest debt increase**: the rate increased from 1.25% to 3.25% by the BOK
- Froze the Korean housing market
- In December 2022: apartment transaction volume in Seoul was at 578 (a number deceased by 50% since 2021)

Finance & economics | Home truths

South Korea's housing crunch offers a warning for other countries

A bizarre rental system is not helping



Feb 9th 2023 | SEOUL

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The Economist

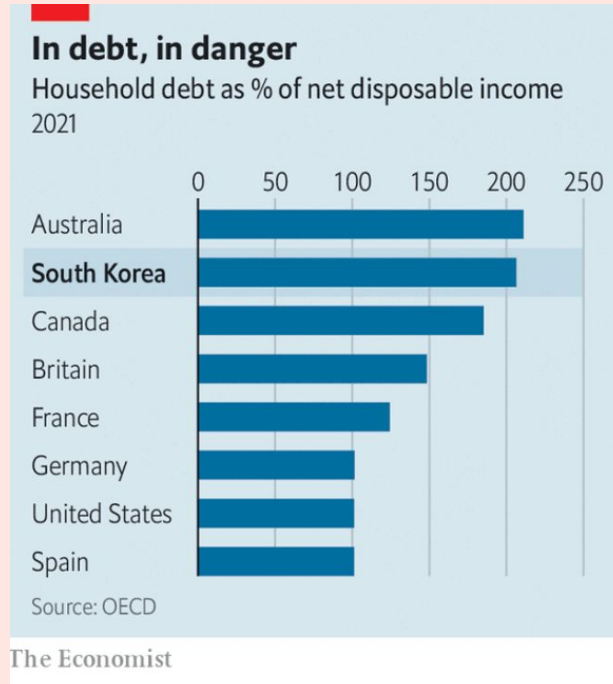
AVERAGE MORTGAGE RATES

- The average mortgage rates shifted within a band of 5.47% and 8.11% (according to the five major banks)

*A number never seen since 2007-2008 financial crisis

- People who purchased houses in Seoul recently are experiencing more financial burden

HOUSEHOLD DEBT RISING

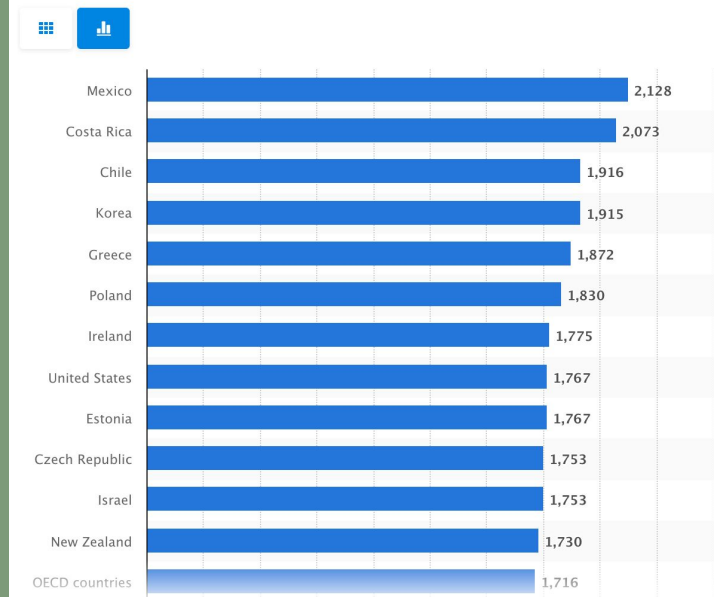


- Household debt ratio to disposable income began to *rise since the 60s and 70s*
- The **effect of the lockdown** measures due to the pandemic (e.g., failure of family businesses, area around Ewha)
- *Nearly a quarter of the Korean population is self-employed

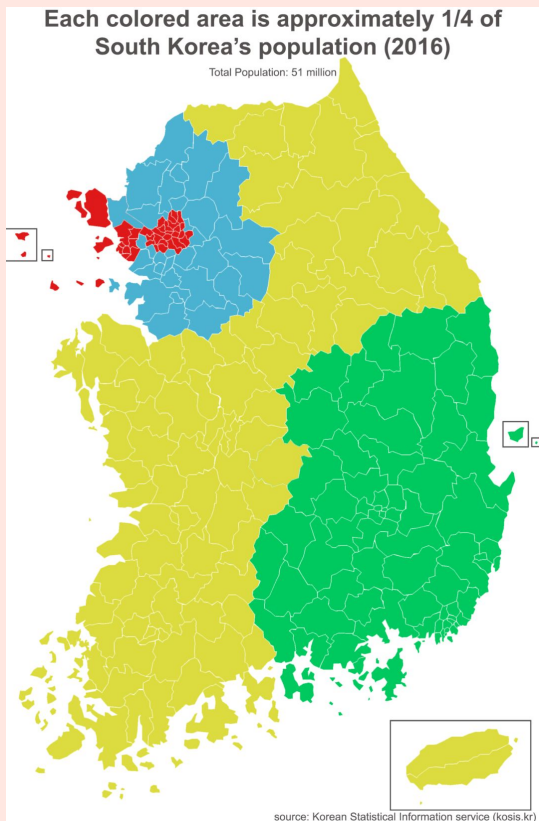
REASONS FOR HOUSEHOLD DEBT

- Consumerism
- Soaring cost of housing
- 60% of housing loans are *floating rates* (most lending is on fixed terms in the U.S.)
- As rates rise, Korean household finances are “squeezed more quickly”

Average annual working hours per worker in OECD-countries in 2021
(in hours)



SOARING COST OF HOUSING



ASIA

South Korea's 'villa king' dies, leaving tenants at risk of losing huge deposits

By [Andrew Jeong](#) and [Bryan Pietsch](#)

December 23, 2022 at 4:25 a.m. EST

- Half of South Korea's population of 52 million lives in **Kyonggi Province, Incheon, and Seoul**
- *Hence, for politicians, the capital area is their priority
- **Jeonse** (e.g., problem such as the increase of "villa kings")

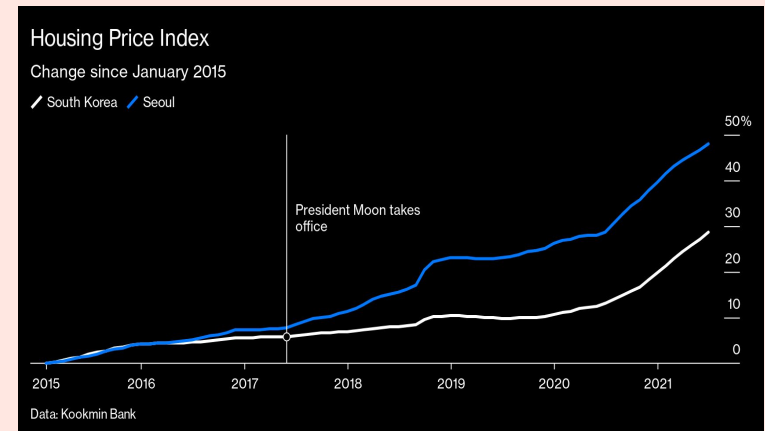
PRESIDENT MOON JAE-IN

“War against real estate speculation”

- Restore “real demand” & **underprotected** households
- ↑ burden on multiple properties owners
- ~26 real estate measures
 - restrictive banking policies
 - ↑ taxes
 - ↑ interest rates
- Disproportionately affect middle & working class

“At the time of [Moon’s] inauguration, buying a home would cost a worker **20 years’** pay; of November 2021, it’s **38 years.**”

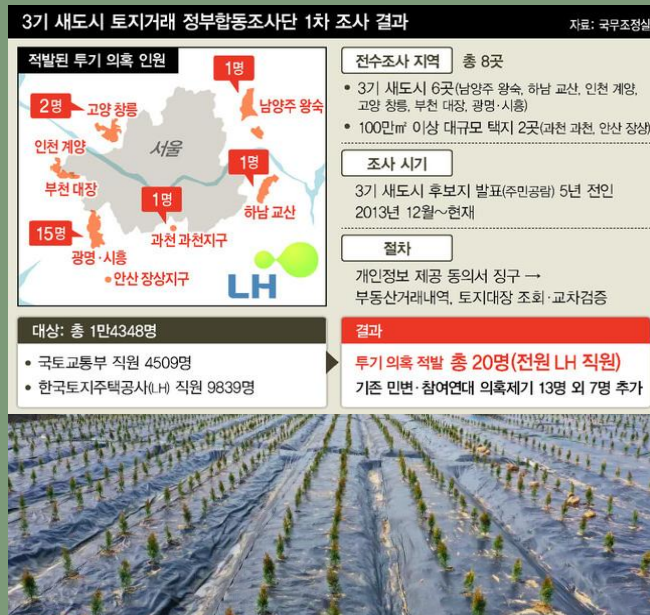
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THE LAND & HOUSING CORPORATION (LH)

Scandal before spring 2021 municipal elections

- LH officials purchasing land ~\$8.8m
- Compensation for public enterprise seized land = size + trees #
→ *planted fast-growing species*
- Conservatives won Seoul & Busan
- Recurring issue in every election
→ **Social status in Korea = Parental income ?**



PRESIDENT YOON SUK-YEOL

“Private sector-led economic growth”

- ↑ supply ~2.5 mil (1.3 mil capital region)
 - eased reconstruction regulations
 - X regulations @ closely-watched speculative districts
-
- lift presale price cap system
 - shorten time for property sales
 - 4-10yrs → 1-3yrs
 - eased loans for partial deposits
 - X limit 500 mil ₩ per person



PREDICTIONS

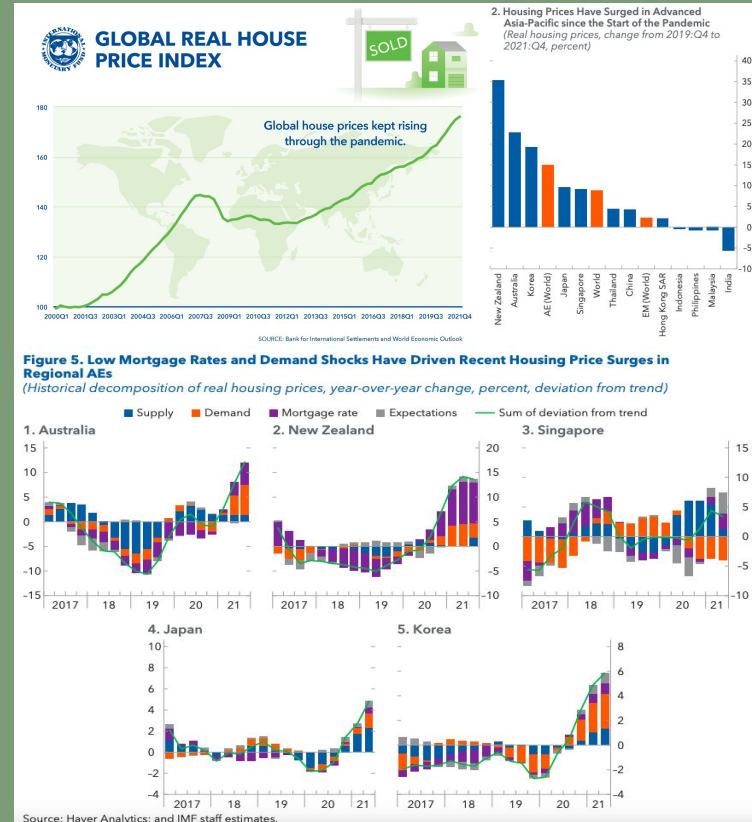
↓ *short-run property price*

Global housing prices are already high

- *IMF inflation-adjusted global housing index*
Home price rose @ pandemic BUT still selling
 - Low mortgage %
 - Purchased for speculative gain
 - ↑ housing burst

Price adjustment starting?

- *IMF Housing Market Stability & Affordability in Asia-Pacific*
house price growth for 4 quarters ahead ~10%
lower than @ pandemic start
- *Australia home prices* ↓ 9th straight month



PREDICTIONS

↓ *short-run property price*

Drastic rise in interest rates

- The U.S. Federal Reserve & the Bank of Korea increased interest rates
 - FOMC **0.25% → 4.75%**
 - BOK **0.5% → 3.25%**
- Base rate ↑ = Borrowing more expensive
- Saving more attractive

FOMC Meeting Date	Rate Change (bps)	Federal Funds Rate	South Korea - Key rates	
			Date	Key rates
Jan 31 to Feb 1	+25	4.50% to 4.75%	01/13/2023	3.50%
Dec 14, 2022	+50	4.25% to 4.50%	11/24/2022	3.25%
Nov 2, 2022	+75	3.75% to 4.00%	10/12/2022	3.00%
Sept 21, 2022	+75	3.00% to 3.25%	08/25/2022	2.50%
July 27, 2022	+75	2.25% to 2.50%	07/13/2022	2.25%
June 16, 2022	+75	1.5% to 1.75%	05/26/2022	1.75%
May 5, 2022	+50	0.75% to 1.00%	04/14/2022	1.50%
March 17, 2022	+25	0.25% to 0.50%	01/14/2022	1.25%
			11/25/2021	1.00%
			08/26/2021	0.75%
			05/28/2020	0.50%

PREDICTIONS

↓ *short-run property price*

Korea's economic downturn

- 2023 economic growth ~1.6%
 - global monetary tightening moves
 - weaker exports...
- ↓ actual income
 - ↓ intention to purchase property
 - durable good heavily affected by purchasing power
- aging population & ↓ birth rates

Experts' views on Korean economy in 2023

					
Louis Kuijs S&P chief Asia economist	Sohn Sung-won Loyola-Marymount University professor of finance and economics	Jun Kwang-woo Institute for Global Economics chairman and CEO	Joo Won Hyundai Research Institute deputy director	Lee Sang-ho Korea Economic Research Institute's head of Economic Policy Team	Jung Yoo-tag Hana Institute of Finance research fellow
Likelihood of recession Can't rule it out	2nd half of year	Possible	1st half of year	1st half of year	25% chance
Threats to economy Fall in exports, decrease in private spending	Fall in exports, decrease in private spending, high interest rate	Fall in exports, housing market crash	Fall in exports, decrease in private spending, high interest rate	Fall in exports	High inflation, high interest rate, high currency rate

Discussion Questions

According to Kim Seong-dal, public policy director for the Citizens' Coalition for Economic Justice (CCEJ), "Young Koreans have a saying: 'I'd have to work two or three lifetimes to afford a flat in Gangnam.'" Furthermore, "the rise in housing prices has forced many young people to give up on the idea of starting a family or even getting married."

Q1. What is your opinion about this statement, and what are some other consequences of housing problems we haven't discussed yet?

Q2. How have the housing measures introduced by President Yoon differed from those of former President Moon, and do you believe they will be effective in stabilizing the property market?

Q3. Why do you believe that housing prices rose so dramatically during the pandemic, especially in Asian-Pacific countries?

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THANK YOU!

Any questions?

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